

Strategic Layer

EPEC: Diagonalization Algorithm

MPEC₁

MPEC₂

MPEC₃

MPEC₄

Objective: Maximize NPV (Arbitrage & aFRR)

Decisions:

$X_{\text{power},i,n}, X_{\text{energy},i,n}$

Prices:

$\lambda_{n,t}, \lambda_{\text{afr},b}$

Market Clearing

Independent System Operator (ISO)

Objective: Minimize System Costs

Dispatch

DC-OPF

Grid Topology

